**Aga Khan University Examination Board**

**Notes from E-Marking Centre on HSSC-I Principles of Accounting Examination May 2018**

## Introduction:

This document has been produced for the teachers and candidates of the Higher Secondary School Certificate (HSSC) Part I (Class XI) subject in Principles of Accounting. It contains comments on candidates' responses to the 2018 HSSC-I Examination, indicating the quality of the responses and highlighting their relative strengths and weaknesses.

## E-Marking Notes:

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses which support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Student Learning Outcomes (SLOs) in a manner that require candidates to respond by integrating knowledge, understanding and application skills they have developed during the course of study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used.

## General Comments:

It was generally felt that candidates lack basic accounting knowledge necessary to answer these questions. Most candidates performed poorly in questions that were related to theory. Few candidates also showed that they lack practice and time management as that they were unable to complete the answers. However, some candidates produced good responses to these questions. In addition, it seemed that the candidates were not able to comprehend the requirement of the questions and produced things that were not required resulting in time lapse and were unable to complete their responses.

**Note: Student responses reproduced in this report have not been corrected for grammar, spelling, format or factual information.**

**Detailed Comments:**

**Constructed Response Question (CRQs)**

**Question 1a:**

Ahmed prepares his accounting records for a period of 12 months which starts from April 01 and ends on March 31 each year.

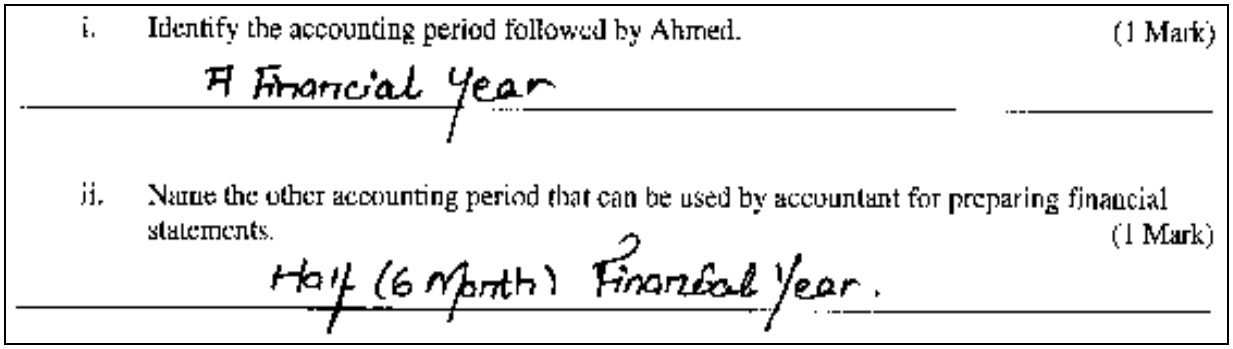
i. Identify the accounting period followed by Ahmed.

ii. Name the other accounting period that can be used by accountant for preparing financial statements.

This question had two parts. The first was about identifying different types of accounting periods used by businesses while recording the financial information and the next part was related to the objectives of the steps of accounting cycle.

*Better responses* were able to comprehend the given situation and answered it correctly. Most of the candidates identified the accounting period as fiscal year and calendar year. Few candidates mentioned it as monthly or yearly accounting period which were also considered correct while marking.

**Example:**


i. Identify the accounting period followed by Ahmed. (1 Mark)

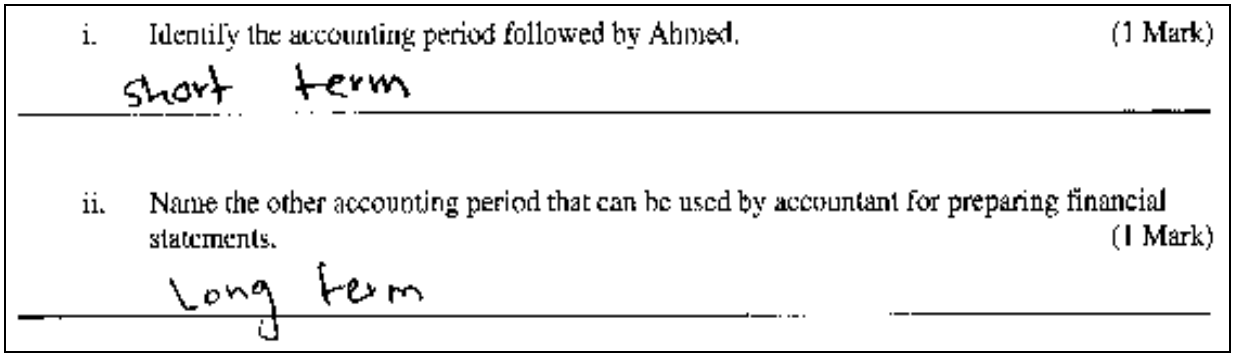
A Financial Year

ii. Name the other accounting period that can be used by accountant for preparing financial statements. (1 Mark)

Half (6 Month) Financial Year.

*Weaker responses* reflected the lack of understanding of the candidates about different types of accounting period. Some of the responses mentioned economic periods instead of accounting period. Some of the responses instead of naming the accounting period mentioned the dates such as April 01 - March 31 etc. which were not considered as correct.

**Example:**


i. Identify the accounting period followed by Ahmed. (1 Mark)

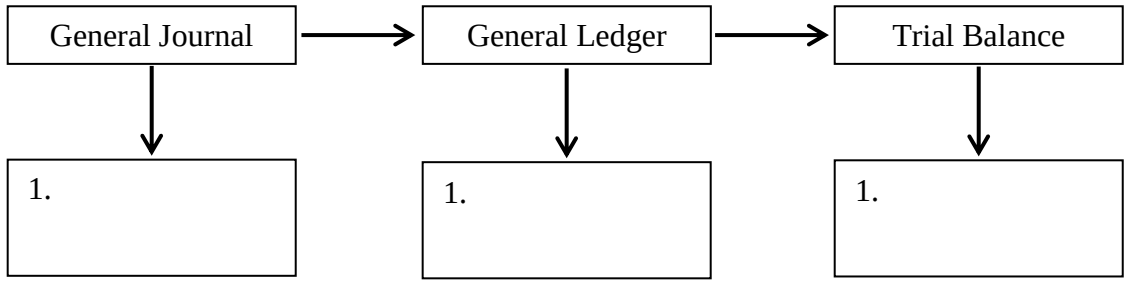
Short term

ii. Name the other accounting period that can be used by accountant for preparing financial statements. (1 Mark)

Long term

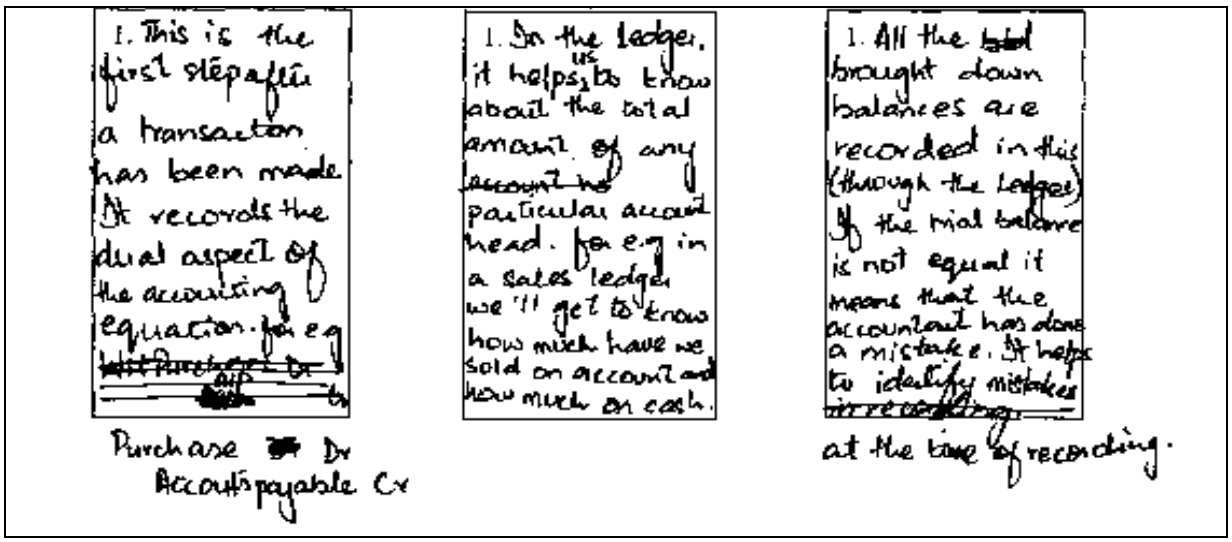
**Question 1b:**

Complete the given figure by mentioning the objective of each of the stages of accounting cycle.



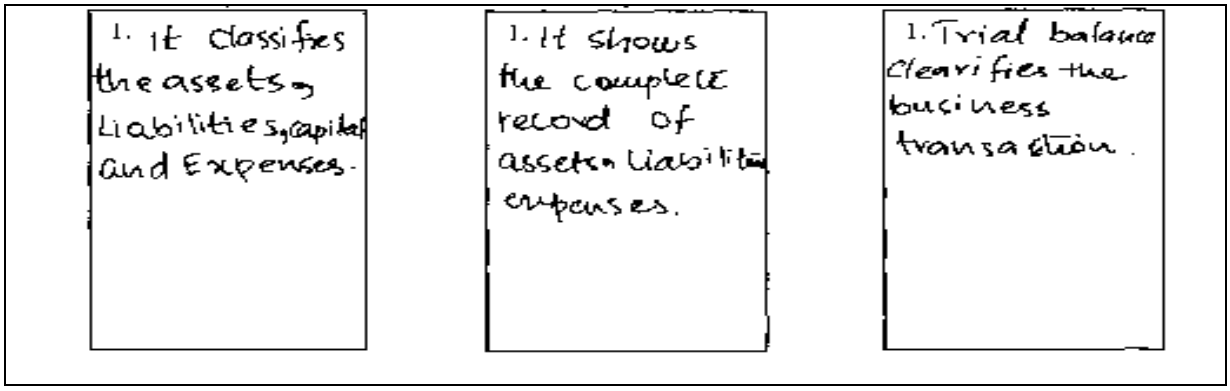

*Better responses* highlighted that the candidates were able to complete the boxes by mentioning the objectives of the given stages of accounting cycle. Some candidates also described the recording, classifying and summarizing aspects of these steps, whereas other responses mainly mentioned the functions of these stages.

**Example:**




*Weaker responses* were of three types: First, the candidates described the process of maintaining these records instead of writing their objectives such as recording of data in systematic way, classifying and summarising accounting data at the end of period and to check arithmetical accuracy of the recorded data. Second type were the ones which had drawn the formats of the given steps. Third type were the ones who wrote irrelevant points such as recording of business and its summary etc.

**Example:**



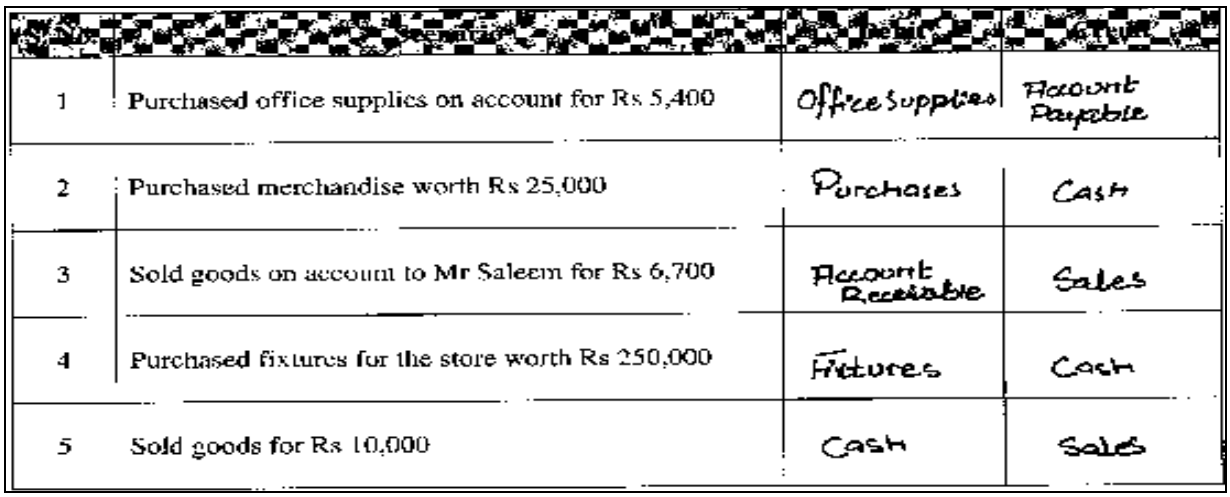

**Question 2:**

Analyse the effect of the given accounting transactions performed by Mr Adil on the accounting heads as debit and credit.

| S. No. | Scenario | Debit | Credit |
|---|---|---|---|
| 1 | Purchased office supplies on account for Rs 5,400 | | |
| 2 | Purchased merchandise worth Rs 25,000 | | |
| 3 | Sold goods on account to Mr Saleem for Rs 6,700 | | |
| 4 | Purchased fixtures for the store worth Rs 250,000 | | |
| 5 | Sold goods for Rs 10,000 | | |

*Better responses* were those where the candidates were able to analyse the account heads correctly. Few responses also indicated the correct direction of change in these account heads, i.e. increase and decrease with reference to their nature.

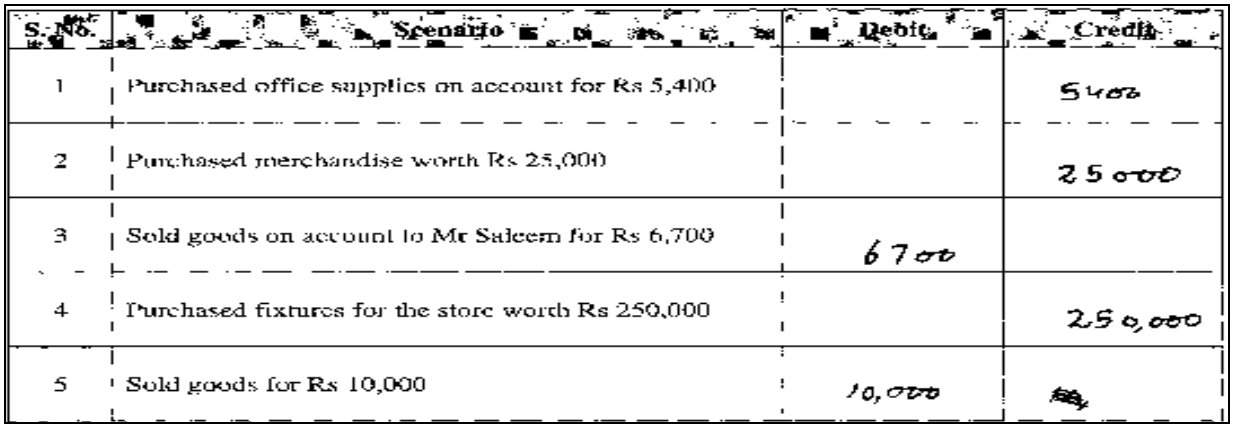
**Example:**




*Weaker responses* reflected incomplete knowledge of the dual aspects of accounting and nature of accounting heads. Few responses wrote wrong nature whereas other only wrote the amount

without mentioning the nature of account heads. Some candidates only mentioned the dimension without mentioning the account heads.

**Example:**



| S. No. | Scenario | Debit | Credit |
|---|---|---|---|
| 1 | Purchased office supplies on account for Rs 5,400 | | 5400 |
| 2 | Purchased merchandise worth Rs 25,000 | | 25000 |
| 3 | Sold goods on account to Mr Saleem for Rs 6,700 | 6700 | |
| 4 | Purchased fixtures for the store worth Rs 250,000 | | 250,000 |
| 5 | Sold goods for Rs 10,000 | 10,000 | |

**Question 3:**

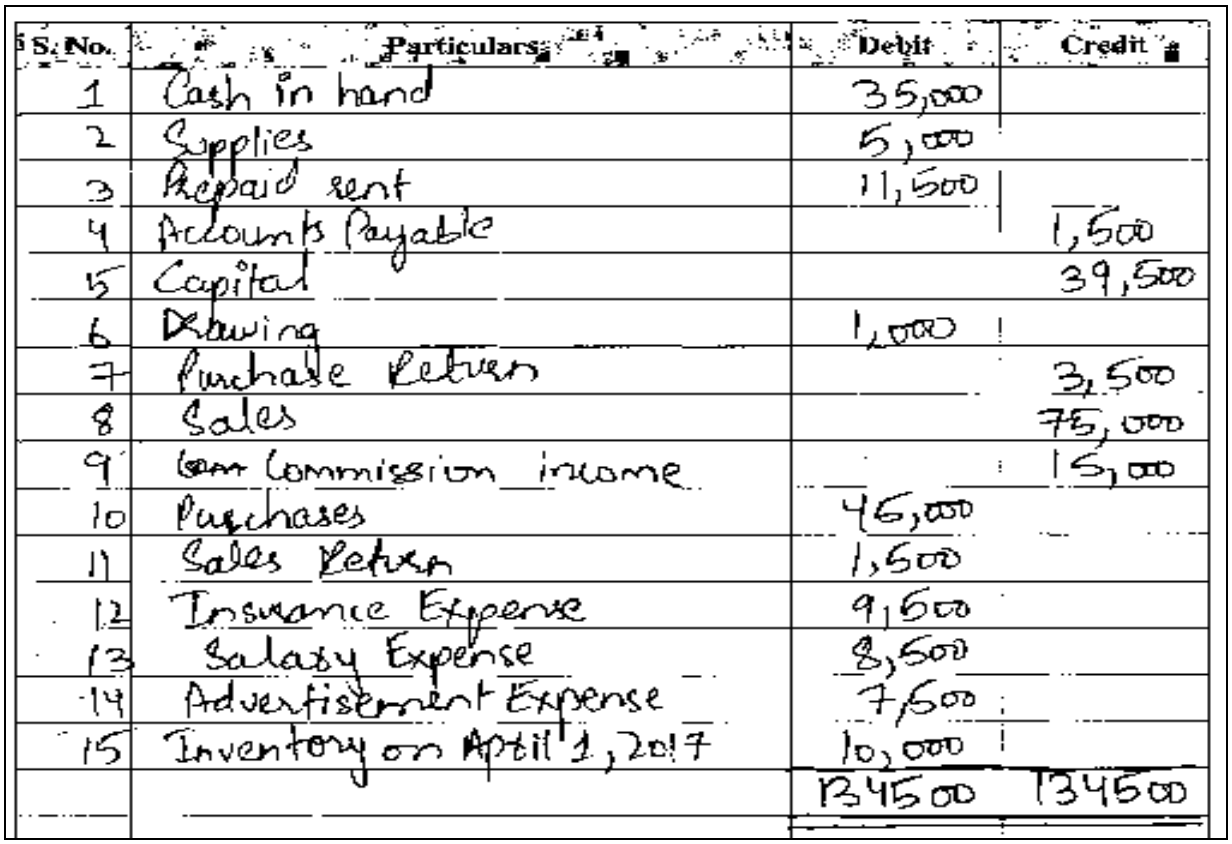
Following balances have been extracted from the books of ABC Traders as on March 31, 2018.

| S. No. | Account heads | Amount (Rs) |
|---|---|---|
| 1 | Cash in hand | 35,000 |
| 2 | Supplies | 5,000 |
| 3 | Purchases | 45,000 |
| 4 | Trade payables (accounts payable) | 1,500 |
| 5 | Purchases returns | 3,500 |
| 6 | Sales | 75,000 |
| 7 | Sales returns | 1,500 |
| 8 | Insurance expense | 9,500 |
| 9 | Prepaid rent | 11,500 |
| 10 | Salary expense | 8,500 |
| 11 | Advertisement expense | 7,500 |
| 12 | Commission income | 15,000 |
| 13 | Inventory on April 01, 2017 | 10,000 |
| 14 | Capital | 39,500 |
| 15 | Drawing | 1,000 |

Prepare the trial balance as on March 31, 2018 for ABC Traders from the given balances.

*Better responses* showed that the candidates had clear understanding of trial balance. These responses were able to identify and post the correct amount on the correct side of the trail balance and got the correct balance of the trial balance.

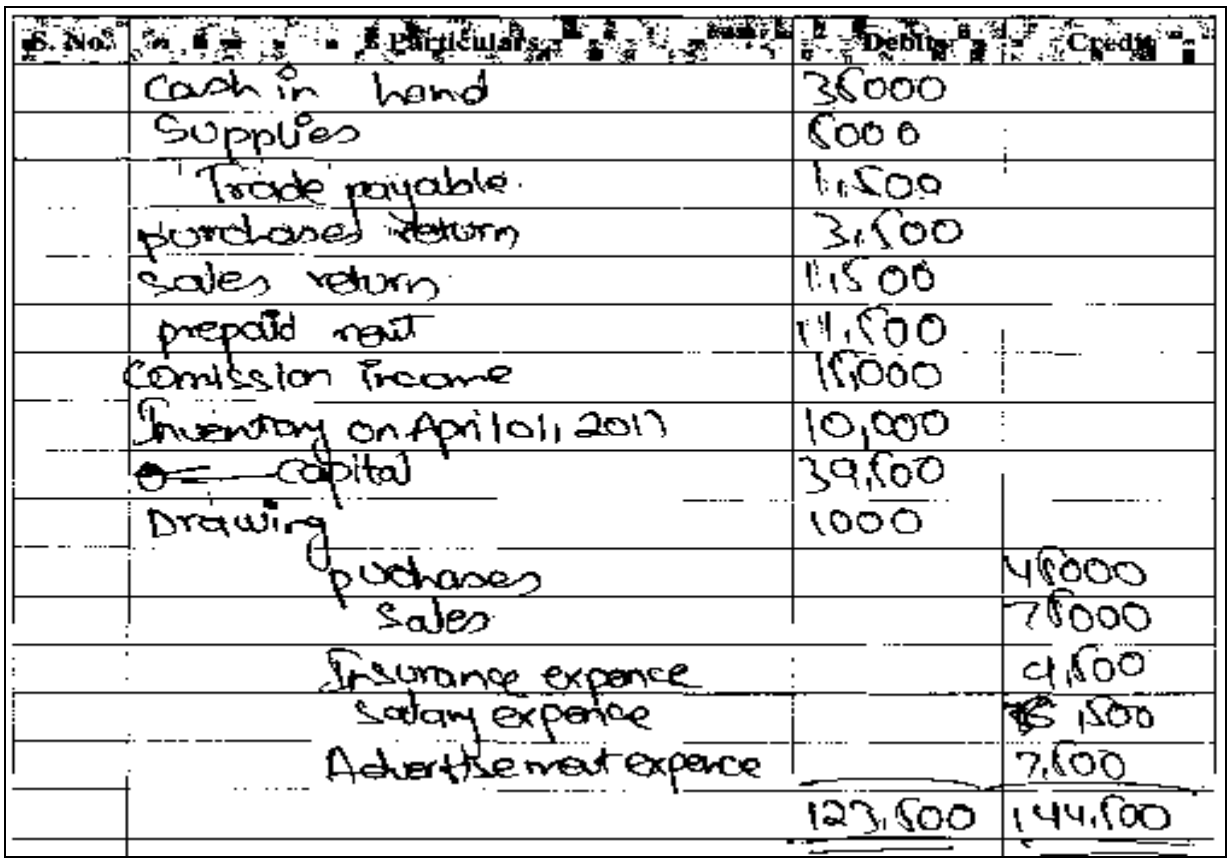
**Example:**



| S. No. | Particulars | Debit | Credit |
|---|---|---|---|
| 1 | Cash in hand | 35,000 | |
| 2 | Supplies | 5,000 | |
| 3 | Prepaid rent | 11,500 | |
| 4 | Accounts Payable | | 1,500 |
| 5 | Capital | | 39,500 |
| 6 | Drawing | 1,000 | |
| 7 | Purchase Return | | 3,500 |
| 8 | Sales | | 75,000 |
| 9 | Loan Commission income | | 15,000 |
| 10 | Purchases | 46,000 | |
| 11 | Sales Return | 1,500 | |
| 12 | Insurance Expense | 9,600 | |
| 13 | Salary Expense | 8,500 | |
| 14 | Advertisement Expense | 7,500 | |
| 15 | Inventory on April 1, 2017 | 10,000 | |
| | | 134500 | 134500 |

*Weaker responses* could not comprehend the nature of various account heads and were unable to reach to the agreement of trial balance. Few responses even showed that candidates were not able to classify purchase return, sales return, prepaid and supplies correctly; thus, their trial balance did not agree.

**Example:**



| S. No | Particulars | Debit | Credit |
|---|---|---|---|
| | Cash in hand | 36000 | |
| | Supplies | 6000 | |
| | Trade payable | 1,500 | |
| | purchased return | 3,500 | |
| | Sales return | 1,500 | |
| | prepaid rent | 14,500 | |
| | Comission Income | 15000 | |
| | Inventory on April 01, 2017 | 10,000 | |
| | Capital | 39,500 | |
| | Drawing | 1000 | |
| | purchases | | 40000 |
| | Sales | | 70000 |
| | Insurance expence | | 4,500 |
| | Salary expence | | 15,000 |
| | Advertisement expence | | 7,500 |
| | | 123,500 | 144,500 |

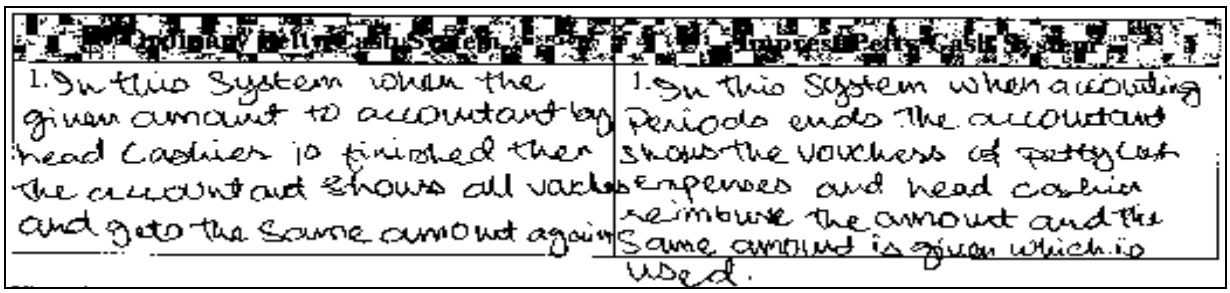
**Question 4a:**

Differentiate between ordinary and imprest petty cash system.

| Ordinary Petty Cash System | Imprest Petty Cash System |
|---|---|
| 1. | 1. |

*Better responses* were able to properly distinguish between both types of petty cash book. Few responses clearly mentioned that ordinary petty cash book is replenished when the whole amount is used whereas imprest is replenished after every month. Moreover, a few candidates also mentioned that under ordinary petty cash book the amount is fixed whereas in imprest it varies.

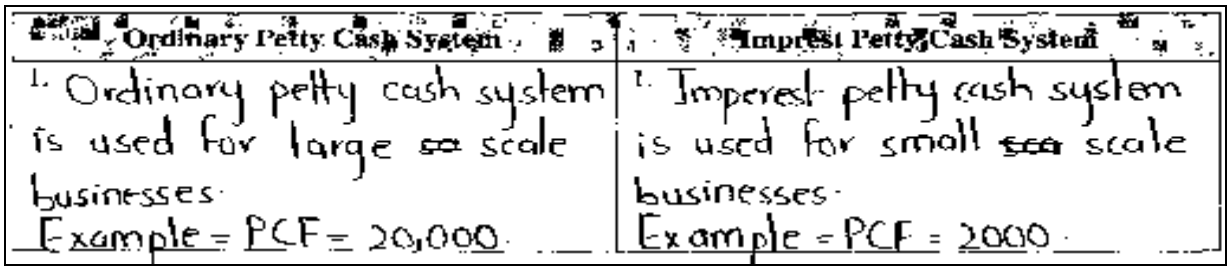
**Example:**



| Ordinary Petty Cash System | Imprest Petty Cash System |
|---|---|
| 1. In this System when the given amount to accountant by head Cashier is finished then the accountant shows all vaches and gets the same amount again | 1. In this System when accounting Periods ends the accountant shows the vouchers of petty cash expenses and head cashier reimburse the amount and the same amount is given which is used. |

*Weaker responses* instead of highlighting the concept of replenished amount, connected it to nature/ scale of business. Few responses reflected that candidates got confused and mentioned opposite features of both the types of petty cash book.

**Example:**



| Ordinary Petty Cash System | Imprest Petty Cash System |
|---|---|
| 1. Ordinary petty cash system is used for large ~~sca~~ scale businesses. Example = PCF = 20,000 | 1. Imperest petty cash system is used for small ~~sca~~ scale businesses. Example = PCF = 2000 |

**Question 4b:**

The given petty cash book has been taken from the books of Nehal Traders for the month of March 2018.

| Petty Cash Book | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| **Receipts** | **Date** | **Details** | **Voucher No.** | **Total** | **Postage and Stamps** | **Conveyance** | **Printing and Stationary** | **Coolie and Cartage** | **Miscellaneous** |
| 650 | Mar 01 | Balance b/d | | | | | | | |
| 2,850 | Mar 01 | Cash | | | | | | | |
| | Mar 05 | Conveyance paid | | 180 | | 180 | | | |
| | Mar 09 | Stamps bought | | 45 | 45 | | | | |
| | Mar 16 | Colour paper bought | | 110 | | | 110 | | |
| | Mar 19 | Tips given to peon | | 50 | | | | | 50 |
| | Mar 21 | Purchase memo book | | 1,650 | | | 1,650 | | |
| | Mar 23 | Paid to coolie | | 130 | | | | 130 | |
| | Mar 25 | Local travelling paid | | 160 | | 160 | | | |
| | Mar 31 | Letter post | | 120 | 120 | | | | |
| | | | | 2,445 | 165 | 340 | 1,760 | 130 | 50 |
| | | Balance c/d | | 1,055 | | | | | |
| 3,500 | | | | 3,500 | | | | | |
| 1,055 | Apr 01 | Balance b/d | | | | | | | |
| 2,445 | Apr 01 | Cash | | | | | | | |

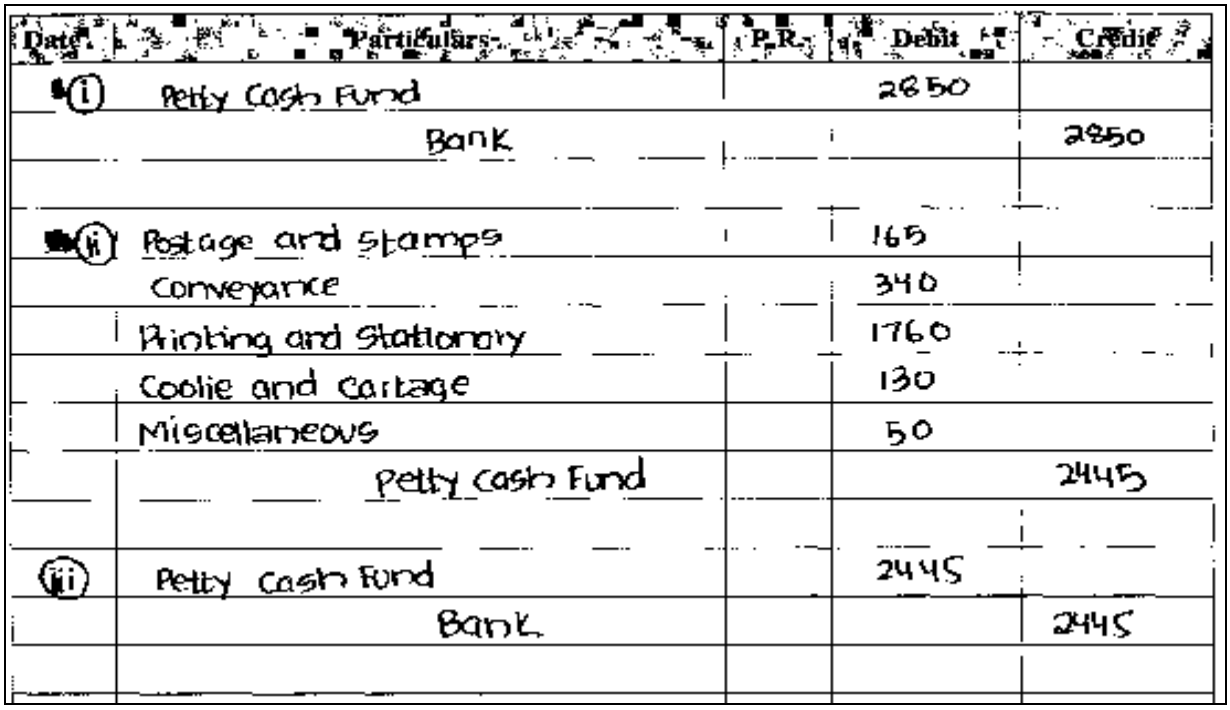
Prepare the general entries in the books of Nehal Traders for the following transactions.

i. Replenishment of petty cash fund on March 01, 2018
ii. Payment made from petty cash fund
iii. Reimbursement of petty cash fund on April 01, 2018

| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| | | | | |
| | | | | |
| | | | | |
| | | | | |

Since this was a connected question so, *better responses* were able to prepare the correct entry for the given petty cash book. These responses showed that they had appropriate knowledge of imprest petty cash book so they made the entry with the correct amount.

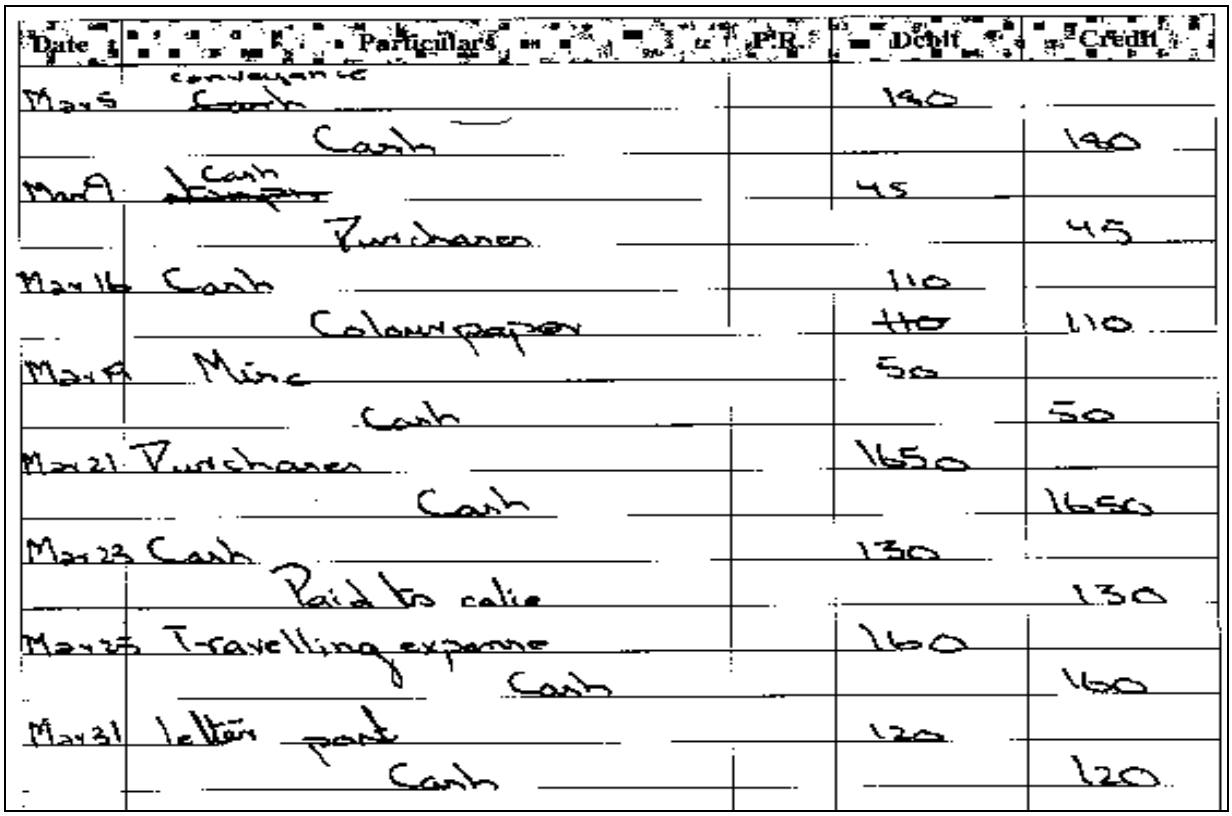
**Example:**



| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| (i) | Petty Cash Fund | | 2850 | |
| | Bank | | | 2850 |
| (ii) | Postage and stamps | | 165 | |
| | Conveyance | | 340 | |
| | Printing and Stationary | | 1760 | |
| | Coolie and Cartage | | 130 | |
| | Miscellaneous | | 50 | |
| | Petty Cash Fund | | | 2445 |
| (iii) | Petty Cash Fund | | 2445 | |
| | Bank | | | 2445 |

*Weaker responses* merely made the entries related to payment of expenses. Few responses made the wrong entries which reflected their inappropriate knowledge of entries of petty cash book. Some responses indicated that the candidates got confused and they mixed the methods of petty cash book and made the entries with wrong amount.

**Example:**



| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| Mar 5 | Conveyance | | 190 | |
| | Cash | | | 190 |
| Mar 9 | Cash | | 45 | |
| | Purchases | | | 45 |
| Mar 16 | Cash | | 110 | |
| | Colour paper | | 110 | 110 |
| Mar 19 | Misc | | 50 | |
| | Cash | | | 50 |
| Mar 21 | Purchases | | 1650 | |
| | Cash | | | 1650 |
| Mar 23 | Cash | | 130 | |
| | Paid to calie | | | 130 |
| Mar 25 | Travelling expense | | 160 | |
| | Cash | | | 160 |
| Mar 31 | letter post | | 120 | |
| | Cash | | | 120 |

**Question 5:**

Roshan Sons maintains three column cash book. At the end of February 2018, the bank column of the cash book showed a debit balance of Rs 16,200.
Upon comparison with bank statement, the accountant of Roshan Sons found that following items were missing in the cash book.

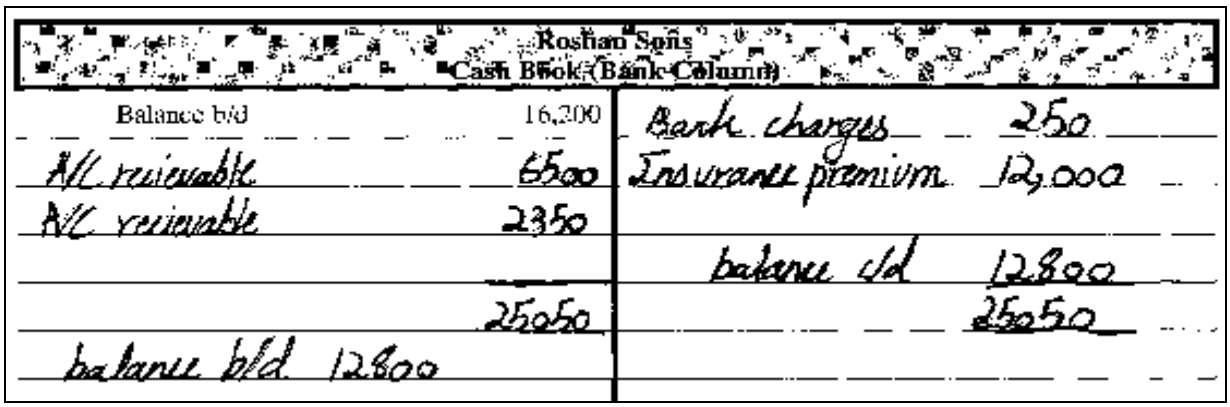
- Bank charged Rs 250 for the issuance of cheque book.
- Standing order of Rs 12,000 against insurance premium was paid by bank.
- A customer deposited Rs 6,500 directly into the bank.
- Bank received dividend of Rs 2,350 for Roshan Sons.

Prepare the cash book (bank column) and bring down the updated balance that would appear in the cash book on March 01, 2018.

| **Roshan Sons<br>Cash Book (Bank Column)** | | | |
|---|---|---|---|
| Balance b/d | 16,200 | | |
| | | | |
| | | | |
| | | | |
| | | | |

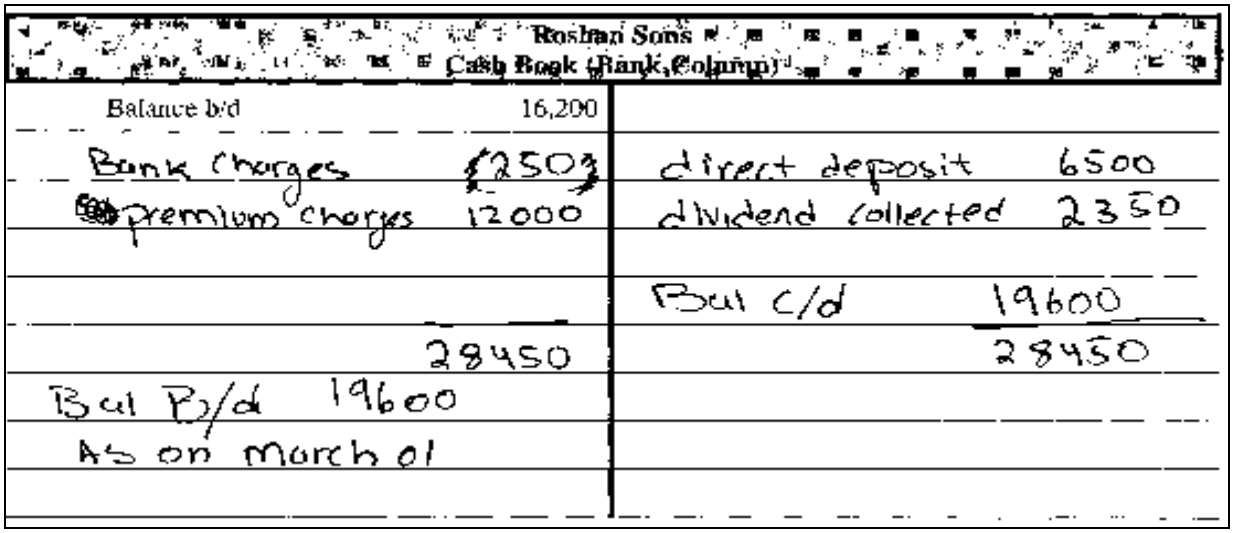
*Better responses* reflected the appropriate knowledge of cash book, they were able to comprehend the question correctly and posted all the transactions related to bank on the correct side of bank column of cash book. Few responses showed that candidates did not read the question and they prepare complete cash book, i.e. two column cash book, although they got maximum marks but this resulted in waste of time.

**Example:**




*Weaker responses* indicated two things: Firstly, the candidates had incorrect knowledge of posting of cash book transactions. These candidates posted the transactions on wrong side specifically transaction related to standing order. Few candidates were unable to do the correct footing and balancing of cash book.

**Example:**



Roshan Sons
Cash Book (Bank Column)

| | | | |
|---|---|---|---|
| Balance b/d | 16,200 | | |
| Bank Charges | 2503 | direct deposit | 6500 |
| premium charges | 12000 | dividend collected | 2350 |
| | | Bal c/d | 19600 |
| | 28450 | | 28450 |
| Bal B/d | 19600 | | |
| As on March 01 | | | |

**Question 6:**

The following adjusting entries were made by Abbas Brothers for the year ended December 31, 2017.

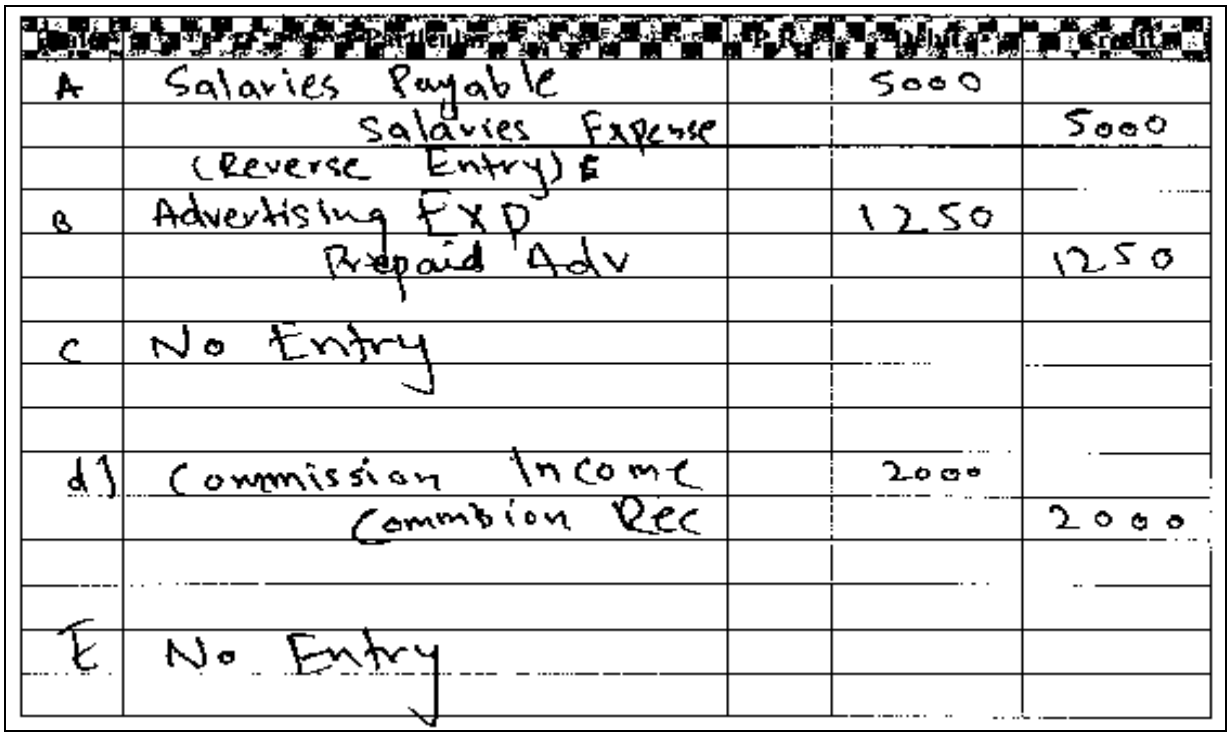
| S. No. | Particular | P.R. | Debit | Credit |
|---|---|---|---|---|
| A | Salaries expense | | 5000 | |
| | Salaries payable | | | 5000 |
| | | | | |
| B | Prepaid advertisement | | 1,250 | |
| | Advertisement expense | | | 1,250 |
| | | | | |
| C | Merchandise inventory | | 2500 | |
| | Expense and revenue summary | | | 2500 |
| | | | | |
| D | Commission receivable | | 2000 | |
| | Commission income | | | 2000 |
| | | | | |
| E | Bad debts expense | | 1500 | |
| | Allowance for bad debts | | | 1500 |

From the given adjusting entries, prepare the necessary reversing entries wherever possible. If there is no reversing entry mention '**NOT possible**'.

| Date | Particular | P.R. | Debit | Credit |
|---|---|---|---|---|
| | | | | |
| | | | | |
| | | | | |
| | | | | |

*Better responses* prepared the correct reversing entries wherever they were possible. These responses showed that candidates have clear idea about the items for which reversing entries are made (i.e. prepaid and accrued expenses and revenues).

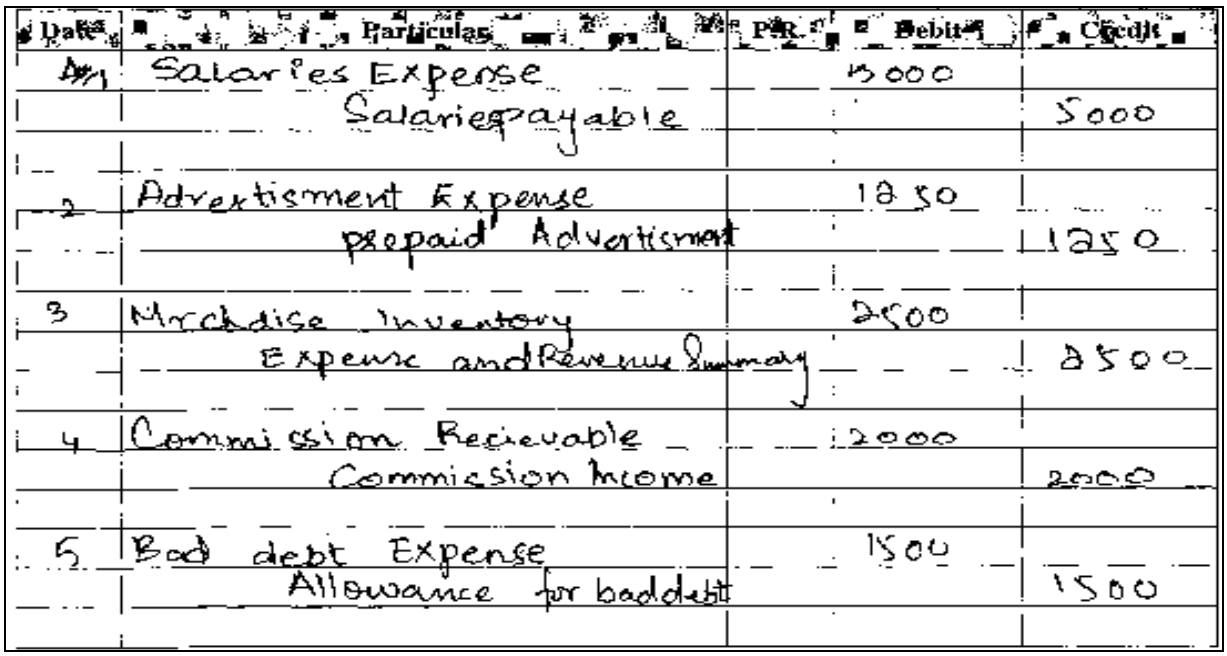
**Example:**



| | | | | |
|---|---|---|---|---|
| A | Salaries Payable | | 5000 | |
| | Salaries Expense | | | 5000 |
| | (Reverse Entry) E | | | |
| B | Advertising EXP | | 1250 | |
| | Prepaid Adv | | | 1250 |
| | | | | |
| C | No Entry | | | |
| | | | | |
| | | | | |
| d) | Commission Income | | 2000 | |
| | Commbion Rec | | | 2000 |
| | | | | |
| | | | | |
| E | No Entry | | | |
| | | | | |

*Weaker responses* indicated that candidates do not have any idea about reversing entries. These responses either copy-pasted the entries given in the question or they made wrong entries. Few candidates made closing entries which showed the confusion they have between the two types of entries (i.e. closing entries and reversing entries).

**Example:**



| Date | Particulas | P.R. | Debit | Credit |
|---|---|---|---|---|
| A/1 | Salaries Expense | | 5000 | |
| | Salariespayable | | | 5000 |
| 2 | Advertisment Expense | | 1250 | |
| | prepaid Advertisment | | | 1250 |
| 3 | Merchdise Inventory | | 2500 | |
| | Expense and Revenue Summary | | | 2500 |
| 4 | Commission Recievable | | 2000 | |
| | Commission Income | | | 2000 |
| 5 | Bad debt Expense | | 1500 | |
| | Allowance for baddebt | | | 1500 |

**Question 7:**

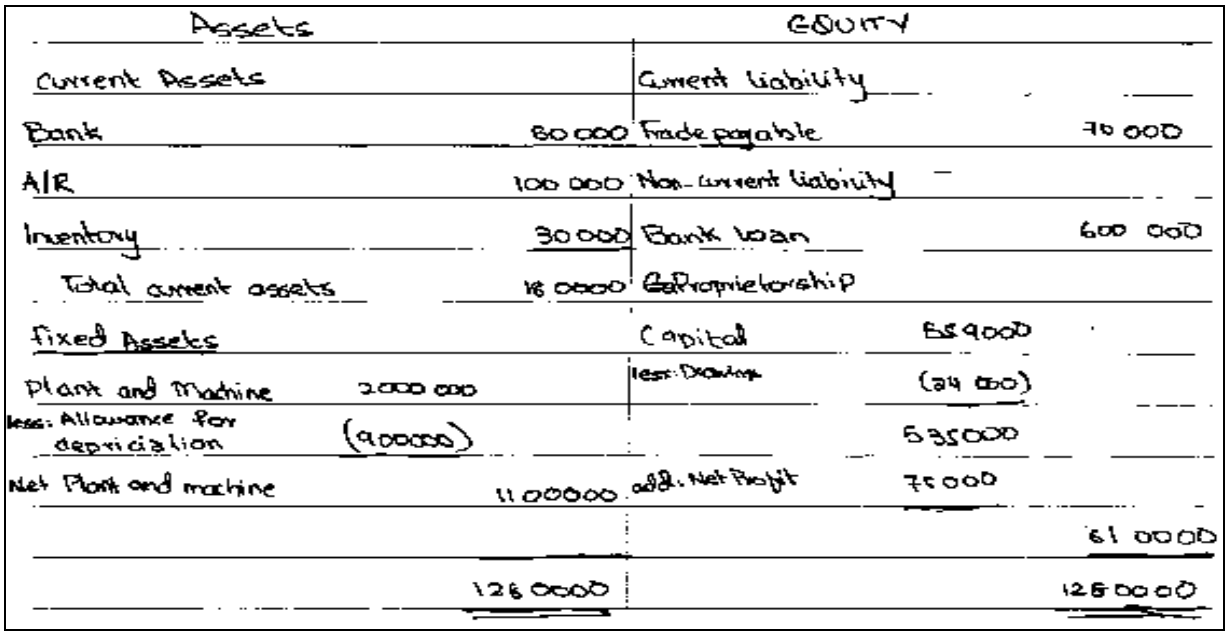
The balances have been extracted from the books of Laraib Traders after the preparation of income statement for the year ended December 31, 2017.

| Particulars | Amount (Rs) |
|---|---|
| Bank | 50,000 |
| Bank loan repayable at December 31, 2020 | 600,000 |
| Trade payables (accounts payable) | 70,000 |
| Trade receivables (accounts receivable) | 100,000 |
| Plant and Machine | 2,000,000 |
| Allowance for depreciation on plant and machine | 900,000 |
| Inventory at December 31, 2017 | 30,000 |
| Drawings | 24,000 |
| Capital at January 01, 2017 | 559,000 |
| Net profit for the year ended December 31, 2017 | 75,000 |

Prepare statement of financial position (balance sheet) in classified form for Laraib Traders as on December 31, 2017.

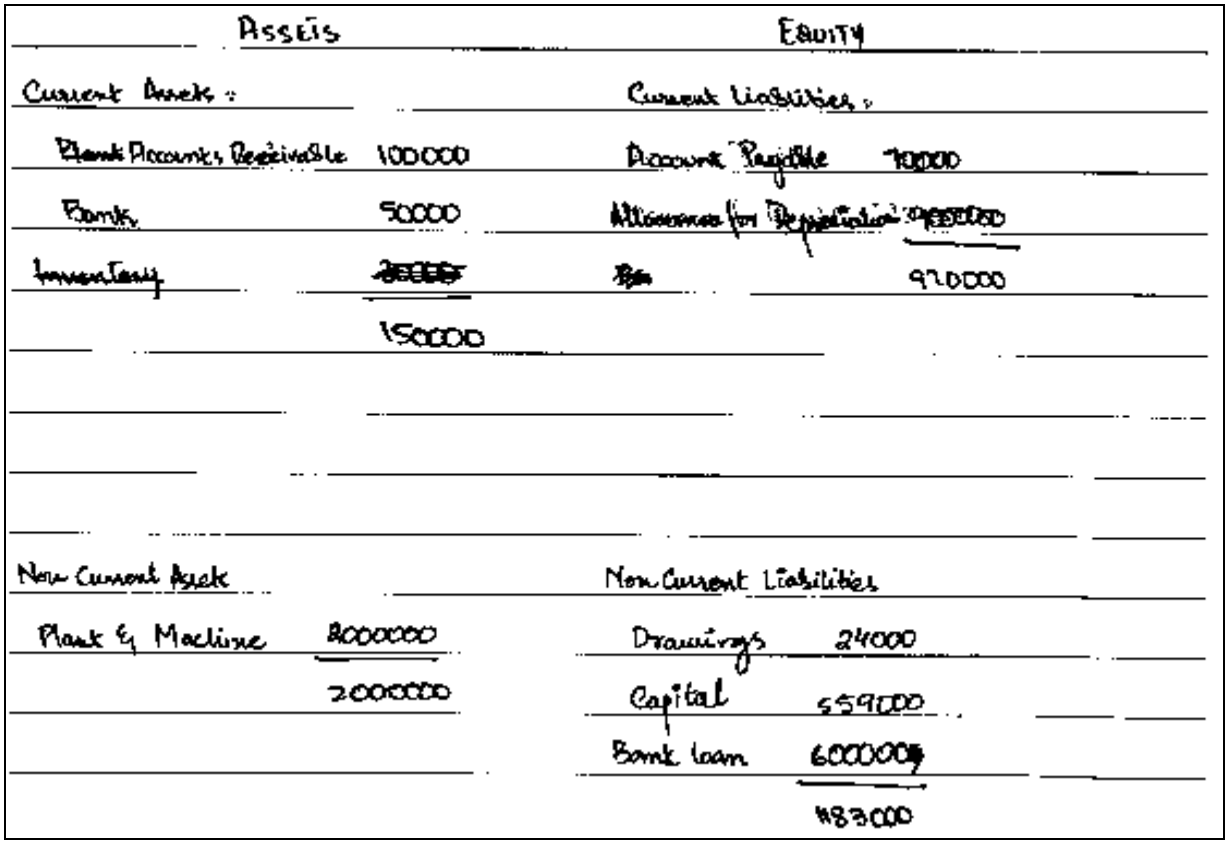
*Better responses* were those where candidates were able to draw up the statement of financial position (balance sheet) with appropriate classification. These responses prepared the required statement with proper headings on the basis of nature of assets and liabilities (i.e. current and non-current).

**Example:**



*Weaker responses* could not classify different assets and liabilities into the respective heads which showed lack of understanding of nature of various assets and liabilities. Some responses classified current liabilities into current assets and vice versa that reflected incorrect knowledge of accounting heads. Few candidates had no idea of balance sheet and they mentioned the items without proper format.

**Example:**



**Question 8:**

Identify the revenue and capital expenditure in each of the given scenarios.

(**Note:** The first example has been done for your assistance.)

| S. No. | Scenario | Type of Expenditure |
|---|---|---|
| **1** | **An educational institute purchased food supplies for the school canteen and also bought 500 chairs and tables.** | **Purchase of food supplies will be revenue expenditure whereas purchase of chairs and table is capital expenditure.** |
| 2 | A company deals in sales of computers. It has opened a new branch at another location for which it acquired a building and computers. | |
| 3 | A company involved in real estate business, has purchased a building for the purpose of reselling and bought machinery for repair and maintenance work. | |
| 4 | A fast food restaurant recently purchased an area for dine-in and also purchased necessary crockery items. | |
| 5 | A superstore acquired new weighing machines, delivery counters and packaging material for their store. | |
| 6 | A pharmaceutical company is extending its operations in different cities. They have acquired new stores in different cities and have also purchased 800 mugs for promoting their medicines. | |

*Better responses* were able to classify the types of expenditures correctly in each scenario as either capital or revenue expenditure. Few responses also mention the reasons for their identification which showed the appropriate knowledge about different types of expenditures.

**Example:**

| S. No. | Scenario | Type of Expenditure |
|---|---|---|
| 1 | An educational institute purchased food supplies for the school canteen and also bought 500 chairs and tables. | Purchase of food supplies will be revenue expenditure whereas purchase of chairs and table is capital expenditure. |
| 2 | A company deals in sales of computers. It has opened a new branch at another location for which it acquired a building and computers. | Building is capital expenditure. Computers are revenue expenditure. |
| 3 | A company involved in real estate business, has purchased a building for the purpose of reselling and bought machinery for repair and maintenance work. | Building is revenue expenditure. Machinery is capital expenditure. |
| 4 | A fast food restaurant recently purchased an area for dine-in and also purchased necessary crockery items. | Area for dine-in is capital expenditure Crockery is revenue expenditure. |
| 5 | A superstore acquired new weighing machines, delivery counters and packaging material for their store. | New weighing machines and delivery counters are capital expenditure. Packaging material is revenue expenditure. |
| 6 | A pharmaceutical company is extending its operations in different cities. They have acquired new stores in different cities and have also purchased 800 mugs for promoting their medicines. | New stores are capital expenditure Mugs are revenue expenditure. |

*Weaker responses* showed that the candidates were unable to comprehend the question and gave incomplete answers by mentioning the nature of only one type of expense in each row. Some responses also indicated the incorrect knowledge of the two types of expenditures and gave wrong answer.

**Example:**

| S.No. | Scenario | Type of Expenditure |
|---|---|---|
| 1 | An educational institute purchased food supplies for the school canteen and also bought 500 chairs and tables. | Purchase of food supplies will be revenue expenditure whereas purchase of chairs and table is capital expenditure. |
| 2 | A company deals in sales of computers. It has opened a new branch at another location for which it acquired a building and computers. | Dealing in sales of computer. It has opened a new branch at another location ~~for which~~ is revenue Expdtr. It purchase building for resale purpose this is Revenue Expenditure. |
| 3 | A company involved in real estate business, has purchased a building for the purpose of reselling and bought machinery for repair and maintenance work. | |
| 4 | A fast food restaurant recently purchased an area for dine-in and also purchased necessary crockery items. | Purchase of fast food resturant. It is capital Exp. |
| 5 | A superstore acquired new weighing machines, delivery counters and packaging material for their store. | IA is capital Expenditure. |
| 6 | A pharmaceutical company is extending its operations in different cities. They have acquired new stores in different cities and have also purchased 800 mugs for promoting their medicines. | It is revenue Expenditure |

**Question 9:**

The following records are extracted from the books of Al-Hamd Traders. The opening stock is valued 500 units @ 2.0.

| Date | Stock in | Rate | Stock out | Rate |
|---|---|---|---|---|
| 01.01.17 | 1500 | 2.0 | 1000 | 4.0 |
| 03.01.17 | 700 | 2.5 | | |
| 05.01.17 | | | 1200 | 3.0 |
| 07.01.17 | 600 | 3.0 | | |

Prepare the inventory chart for Al-Hamd Traders by weighted average cost (AVCO) perpetual method.

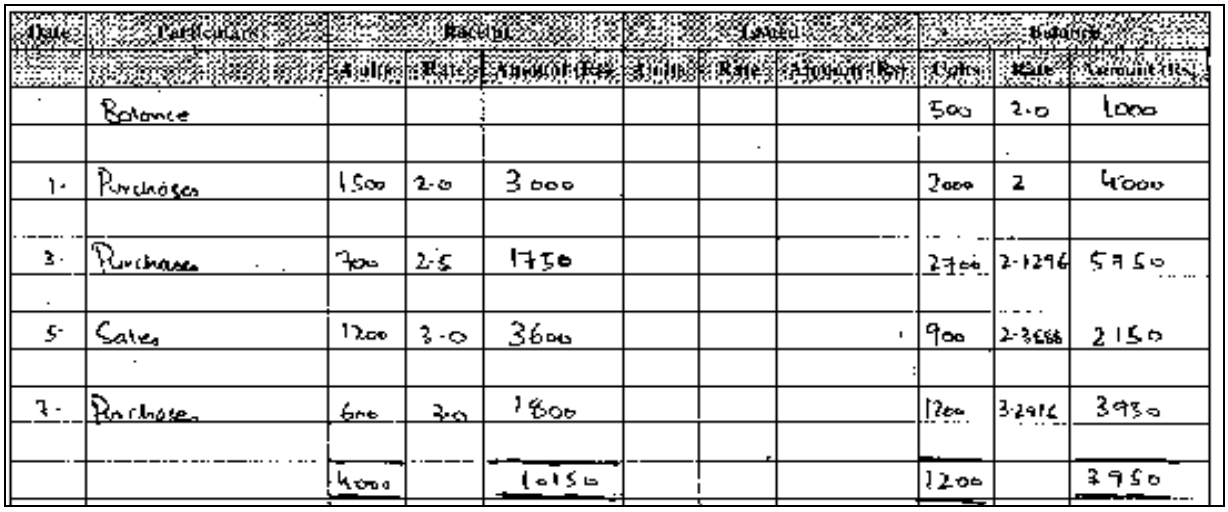
*Better responses* were those where candidates were able to draw up the inventory chart correctly. These responses showed that the candidates understand the working of perpetual inventory system and know how to prepare inventory chart under weighted average cost method.

**Example:**

| Date | Particulars | Receipt | | | Issued | | | Balance | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | Units | Rate | Amount (Rs.) | Units | Rate | Amount (Rs) | Units | Rate | Amount (Rs) |
| 01 | Opening | 500 | 2.0 | 1000 | | | | 500 | 2.0 | 1000 |
| 01 | purchases | 1500 | 2.0 | 3,000 | | | | 2000 | 2.0 | 41000 |
| 01 | Sales | | | | 1000 | 2.0 | 2,000 | 1000 | 2.0 | 2,1000 |
| 03 | purchases | 700 | 2.5 | 1750 | | | | 1700 | 2.2 | 3740 |
| 05 | Sales | | | | 1200 | 2.2 | 2640 | 500 | 2.2 | 1100 |
| 07 | purchases | 600 | 3.0 | 1800 | | | | 1100 | 2.6 | 2,860 |
| | | | | | | | | | | |
| | | | | | | | | | | |
| | | | | Ending = 2860 | | | | | | |
| | | | | Cost of goods sold = 4640 | | | | | | |

*Weaker responses* showed that candidates were either not clear about AVCO method of inventory valuation and prepared inventory chart on the basis of FIFO method or they did not read the question correctly and calculated the amount on the basis of periodic method instead of perpetual. Some responses indicated that the candidates made silly mistakes and either did calculation errors or missed one of the transactions.

**Example:**



| Date | Particulars | Receipt | | | Issued | | | Balance | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | Units | Rate | Amount (Rs) | Units | Rate | Amount (Rs) | Units | Rate | Amount (Rs) |
| | Balance | | | | | | | 500 | 2.0 | 1000 |
| 1. | Purchases | 1500 | 2.0 | 3000 | | | | 2000 | 2 | 4000 |
| 3. | Purchases | 700 | 2.5 | 1750 | | | | 2700 | 2.1296 | 5750 |
| 5. | Sales | 1200 | 3.0 | 3600 | | | | 900 | 2.3888 | 2150 |
| 7. | Purchase | 600 | 3.0 | 1800 | | | | 1200 | 3.2916 | 3950 |
| | | 4000 | | 10150 | | | | 1200 | | 3950 |

**Question 10:**

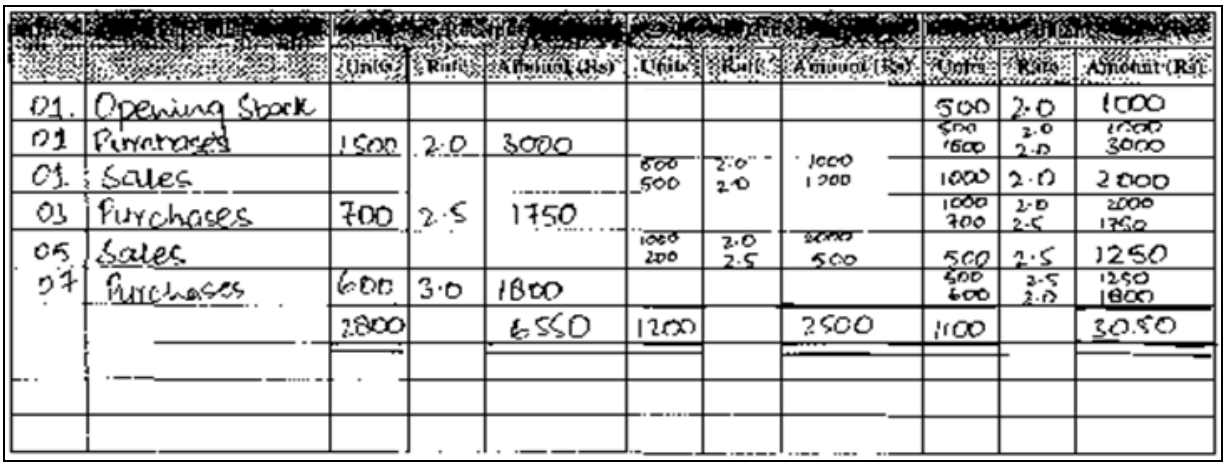
The following records are extracted from the books of Al-Hamd Traders. The opening stock is valued 500 units @ 2.0.

| Date | Stock in | Rate | Stock out | Rate |
|---|---|---|---|---|
| 01.01.17 | 1500 | 2.0 | 1000 | 4.0 |
| 03.01.17 | 700 | 2.5 | | |
| 05.01.17 | | | 1200 | 3.0 |
| 07.01.17 | 600 | 3.0 | | |

Compute the net inventory balance through first in first out (FIFO) perpetual method.

*Better responses* were those where candidates were able to calculate the ending inventory correctly. These responses reflected that the candidates have clear understanding of FIFO method of inventory valuation under perpetual inventory system.

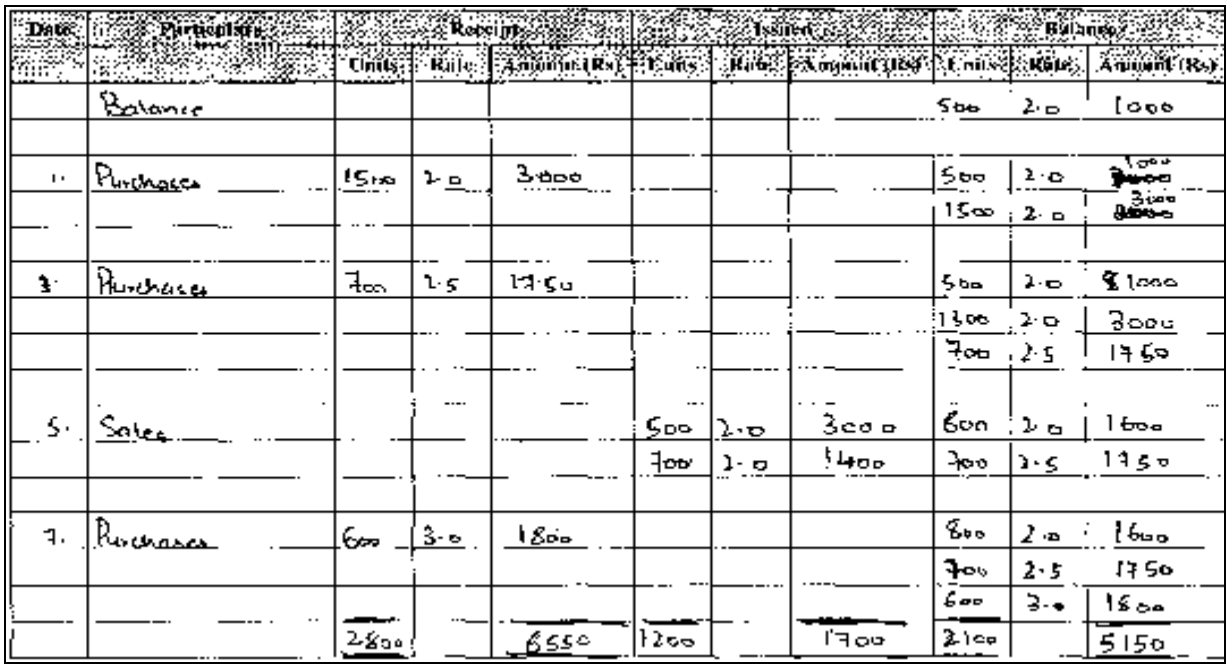
**Example:**



| | | Units | Rate | Amount (Rs) | Units | Rate | Amount (Rs) | Units | Rate | Amount (Rs) |
|---|---|---|---|---|---|---|---|---|---|---|
| 01. | Opening Stock | | | | | | | 500 | 2.0 | 1000 |
| 01 | Purchases | 1500 | 2.0 | 3000 | | | | 500<br>1500 | 2.0<br>2.0 | 1000<br>3000 |
| 01. | Sales | | | | 500<br>500 | 2.0<br>2.0 | 1000<br>1000 | 1000 | 2.0 | 2000 |
| 03 | Purchases | 700 | 2.5 | 1750 | | | | 1000<br>700 | 2.0<br>2.5 | 2000<br>1750 |
| 05 | Sales | | | | 1000<br>200 | 2.0<br>2.5 | 2000<br>500 | 500 | 2.5 | 1250 |
| 07 | Purchases | 600 | 3.0 | 1800 | | | | 500<br>600 | 2.5<br>3.0 | 1250<br>1800 |
| | | 2800 | | 6550 | 1200 | | 2500 | 1100 | | 3050 |

*Weaker responses* indicated that candidates got confused between methods and systems of inventory valuation. Few candidates instead of following perpetual method used periodic method whereas other got confused in methods and did wrong calculation. Few responses showed that candidates did not comprehend the question and got less marks.

**Example:**



| Date | Particulars | Receipts | | | Issued | | | Balance | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | | Units | Rate | Amount (Rs) | Units | Rate | Amount (Rs) | Units | Rate | Amount (Rs) |
| | Balance | | | | | | | 500 | 2·0 | 1000 |
| 1· | Purchases | 1500 | 2·0 | 3000 | | | | 500 | 2·0 | 1000 |
| | | | | | | | | 1500 | 2·0 | 3000 |
| 3· | Purchases | 700 | 2·5 | 1750 | | | | 500 | 2·0 | 1000 |
| | | | | | | | | 1500 | 2·0 | 3000 |
| | | | | | | | | 700 | 2·5 | 1750 |
| 5· | Sales | | | | 500 | 2·0 | 3000 | 600 | 2·0 | 1600 |
| | | | | | 700 | 2·0 | 1400 | 700 | 2·5 | 1750 |
| 7· | Purchases | 600 | 3·0 | 1800 | | | | 800 | 2·0 | 1600 |
| | | | | | | | | 700 | 2·5 | 1750 |
| | | | | | | | | 600 | 3·0 | 1800 |
| | | 2800 | | 6550 | 1200 | | 1700 | 2100 | | 5150 |

## Extended Response Questions (ERQs)

### Question 11

These questions offered a choice between part **a** and **b**. Question 11 Part **a** was based on general ledgers whereas Part **b** was related to double entry accounting. Majority of the candidates attempted option **b** and did well**.**

**Question 11a:**

The following balances have been extracted from the books of Ahmed Store on January 01, 2018.

| | |
|---|---|
| Cash and bank | Rs 63,000 |
| Trade receivables (accounts receivable) | Rs 116,000 |
| Trade payables (accounts payable) | Rs 97,000 |

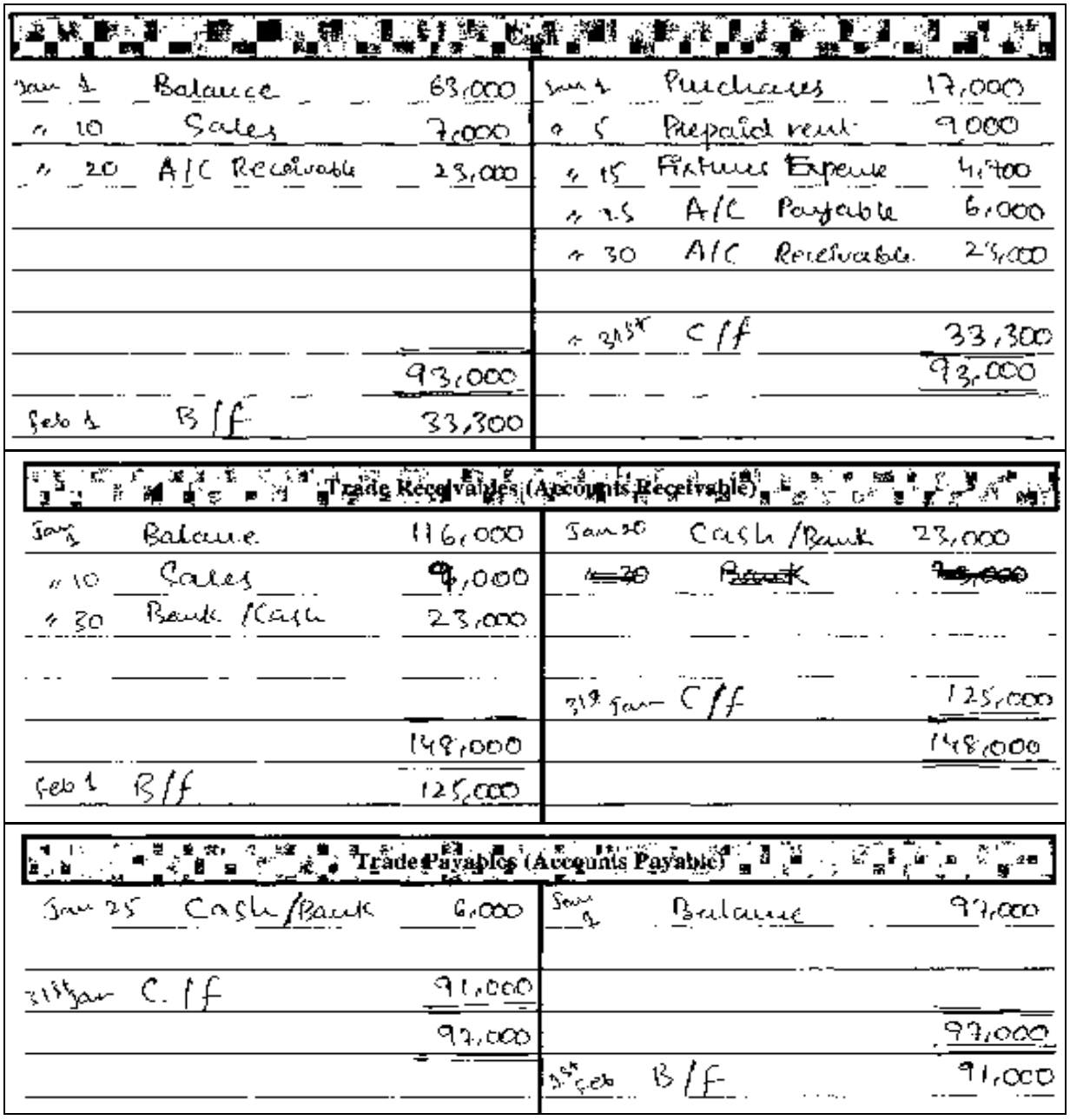
Ahmed Store had the following transactions for the month of January 2018.

Jan 01: Purchased goods from Shahbaz Traders for Rs 17,000 and issued a cheque.
Jan 05: Paid Rs 9,000 as an advance rent for the month of January 2018.
Jan 10: Sold goods of Rs 16,000 to Shams Brothers. Shams Brothers paid Rs 7,000 and agreed to pay the balance in February.
Jan 15: Paid Rs 4,700 by cheque for new fixtures and fittings.
Jan 20: Received an outstanding cash balance of Rs 23,000 from a customer.
Jan 25: Paid Rs 6,000 to a supplier by cheque, this amount was due since November 2017.
Jan 30: Bank informed Ahmed Store that the cheque received on January 20, has been dishonoured.

Post the given transactions in the following ledgers, and balance these ledgers as on February 01, 2018.

*Better responses* were those where the candidates were able to draw up the general ledgers correctly. These responses showed that the candidates have clear understanding of posting entries to ledgers. These responses also indicated the candidates have knowledge of dual aspect of the transaction and their classification.

**Example:**



Cash

| | | | | | |
|---|---|---|---|---|---|
| Jan 1 | Balance | 63,000 | Jan 5 | Purchases | 17,000 |
| " 10 | Sales | 7,000 | " 5 | Prepaid rent | 9000 |
| " 20 | A/C Receivable | 23,000 | " 15 | Fixtures Expense | 4,700 |
| | | | " 25 | A/C Payable | 6,000 |
| | | | " 30 | A/C Receivable | 23,000 |
| | | | " 31st | C/f | 33,300 |
| | | 93,000 | | | 93,000 |
| Feb 1 | B/f | 33,300 | | | |

Trade Receivables (Accounts Receivable)

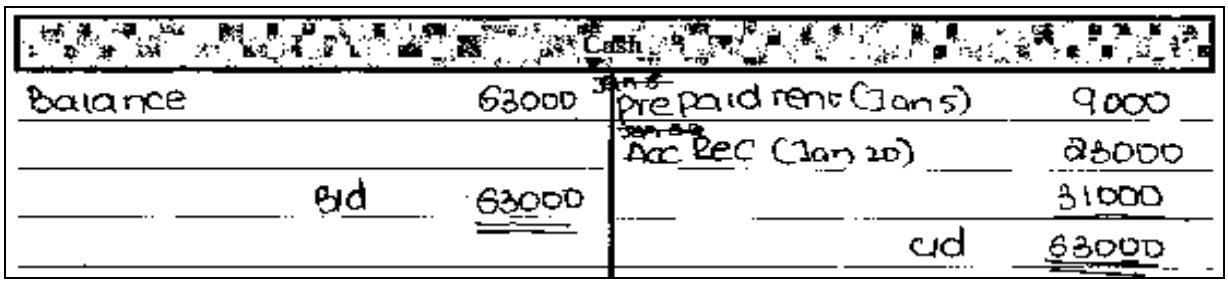
| | | | | | |
|---|---|---|---|---|---|
| Jan 1 | Balance | 116,000 | Jan 20 | Cash/Bank | 23,000 |
| " 10 | Sales | 9,000 | " 30 | Bank | [illegible] |
| " 30 | Bank/Cash | 23,000 | | | |
| | | | 31st Jan | C/f | 125,000 |
| | | 148,000 | | | 148,000 |
| Feb 1 | B/f | 125,000 | | | |

Trade Payables (Accounts Payable)

| | | | | | |
|---|---|---|---|---|---|
| Jan 25 | Cash/Bank | 6,000 | Jan 1 | Balance | 97,000 |
| 31st Jan | C/f | 91,000 | | | |
| | | 97,000 | | | 97,000 |
| | | | 1st Feb | B/f | 91,000 |

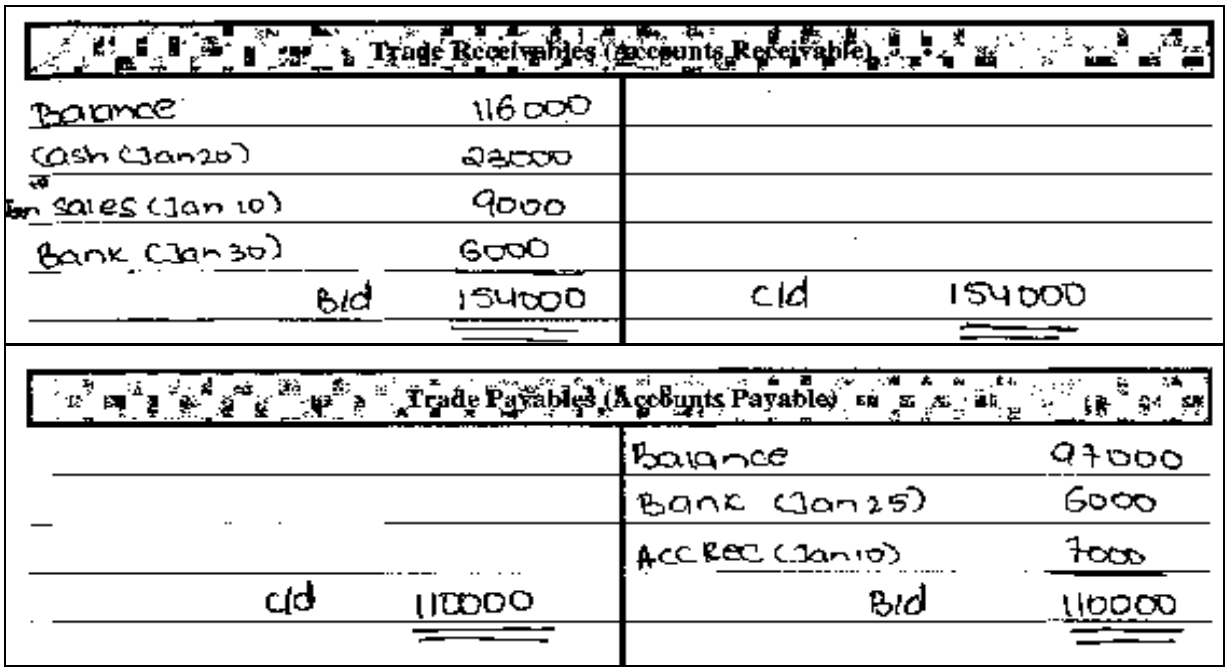
*Weaker responses* could not post different transactions to various ledger accounts. These responses also indicated that concept of double entry and its posting is not clear. Some candidates did not know the process of posting the transactions and they listed the transactions in the ledgers.

**Example:**



Cash

| | | | | | |
|---|---|---|---|---|---|
| Balance | | 63000 | Jan 5 | prepaid rent (Jan 5) | 9000 |
| | | | Jan 20 | Acc Rec (Jan 20) | 23000 |
| | bid | 63000 | | | 31000 |
| | | | | cid | 63000 |



**Trade Receivables (Accounts Receivable)**

| | | | |
|---|---|---|---|
| Balance | 116000 | | |
| Cash (Jan 20) | 23000 | | |
| Sales (Jan 10) | 9000 | | |
| Bank (Jan 30) | 6000 | | |
| Bld | 154000 | Cld | 154000 |

**Trade Payables (Accounts Payable)**

| | | | |
|---|---|---|---|
| | | Balance | 97000 |
| | | Bank (Jan 25) | 6000 |
| | | Acc Rec (Jan 10) | 7000 |
| Cld | 110000 | Bld | 110000 |

**Question 11b:**

Bashir Traders completed the following transactions during the first month of their business operation.

Feb 01: Invested cash Rs 60,000 and furniture Rs 130,000.
Feb 03: Opened a bank account by depositing Rs 45,000.
Feb 05: Issued a cheque of Rs 10,000 and agreed to pay Rs 13,000 on March 05 to Rashid Sons for the goods purchased.
Feb 10: Sold goods to Amir Sons for Rs 9,500 on credit.
Feb 15: Bought goods on credit from Basit Enterprises on credit for Rs 7,600.
Feb 20: Returned defective goods of Rs 600 to Basit Enterprises and paid the balance amount by cheque.
Feb 28: Paid Rs 9,000 as rent for the month of February 2018.

Prepare the general entries for the given transactions in the books of Bashir Traders.

*Better responses* showed that the candidates have clear understanding of double entry recording. These candidates were able to prepare correct general entries with relevant accounts title. Moreover, the responses also showed that the candidates were able to prepare the compound entries from the given transactions.

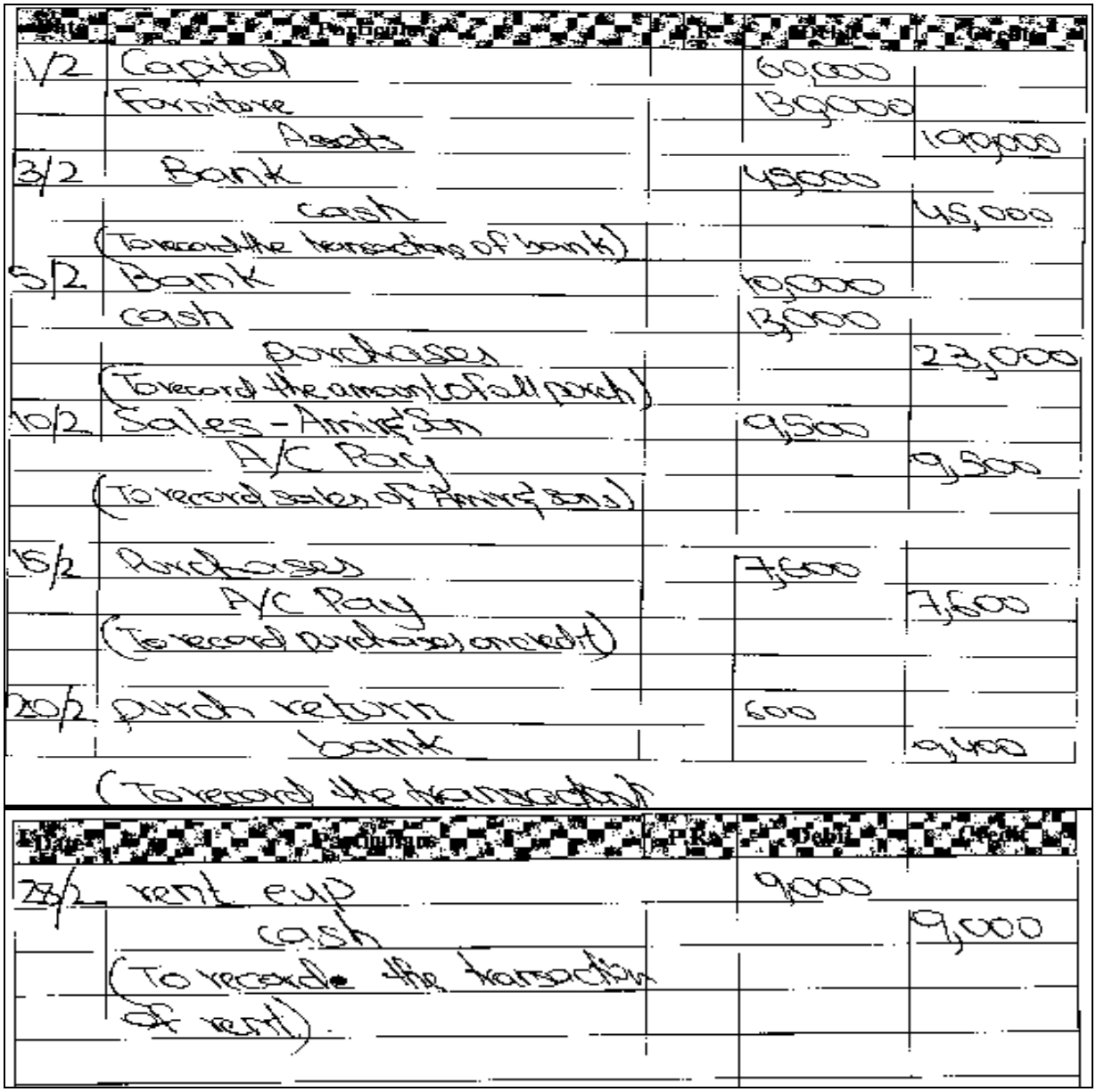
**Example:**

| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| Feb 1 | Cash | | 60,000 | |
| | furniture | | 130,000 | |
| | Capital | | | 190,000 |
| | (invested cash and furniture in Business) | | | |
| Feb 3 | Bank | | 45000 | |
| | Cash | | | 45000 |
| | (Deposited in bank) | | | |
| Feb 5 | Purchases | | 23000 | |
| | Bank | | | 10,000 |
| | A/c Payable (Rashid sons) | | | 13000 |
| | (Purchased on credit and by cheque). | | | |
| Feb 10 | A/c Receivable (Amir sons) | | 9500 | |
| | Sales | | | 9500 |
| | (Sold on account) | | | |
| Feb 15 | Purchases | | 7600 | |
| | A/c Payable (Basit Ent.) | | | 7600 |
| | (Purchased on credit). | | | |

| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| feb 20 | A/c Payable | | 7600 | |
| | Purchase return | | | 600 |
| | Bank | | | 70,000 |
| | (returned good and paid A/c Payable) | | | |
| feb 28 | Rent expense | | 9000 | |
| | Cash | | | 9000 |
| | (Paid rent for the month). | | | |

*Weaker responses* reflected incorrect knowledge of the nature of accounting heads and prepared wrong entries. These responses instead of debiting an account credit it and vice-verse that shows that students need to work on impact of a transaction on accounting heads. Few responses were also unable to understand the given transactions and prepared incorrect entries.

**Example:**



| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| 1/2 | Capital | | 60,000 | |
| | Furniture | | 30,000 | |
| | Assets | | | 1,90,000 |
| 3/2 | Bank | | 45,000 | |
| | Cash | | | 45,000 |
| | (To record the transactions of bank) | | | |
| 5/2 | Bank | | 10,000 | |
| | Cash | | 3,000 | |
| | Purchases | | | 23,000 |
| | (To record the amount of all purch) | | | |
| 10/2 | Sales - Amit & Co | | 9,500 | |
| | A/C Pay | | | 9,500 |
| | (To record sales of Amit & co) | | | |
| 15/2 | Purchases | | 7,600 | |
| | A/C Pay | | | 7,600 |
| | (To record purchases on credit) | | | |
| 20/2 | purch return | | 600 | |
| | bank | | | 9,400 |
| | (To record the transaction) | | | |

| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| 28/2 | rent exp | | 9,000 | |
| | cash | | | 9,000 |
| | (To record the transaction of rent). | | | |

**Question 12**

Question 12, part **a** was based on income statement and adjustment related to it whereas, part **b** was related to accounting errors and correction of accounting errors. Majority of the candidates attempted option **a** but were unable to perform well in this part as compared to part **b**.

**Question 12a:**

The following trial balance has been extracted from the books of Shafi Traders as on March 31, 2018.

| Particulars | Debit | Credit |
|---|---|---|
| Purchases | 914,000 | |
| Sales | | 1,340,000 |
| Marketing expenses | 90,000 | |
| Administrative expenses | 140,000 | |
| Interest expense | 40,000 | |
| Building | 850,000 | |
| Allowance (provision) for depreciation - Building | | 90,000 |
| Machinery | 450,000 | |
| Allowance (provision) for depreciation - Machinery | | 130,000 |
| Inventory on April 01, 2017 | 280,000 | |
| Trade receivables (accounts receivable) | | 410,000 |
| Bank | 106,000 | |
| Trade payables (accounts payable) | | 180,000 |
| Capital | | 720,000 |
| **Total** | **2,870,000** | **2,870,000** |

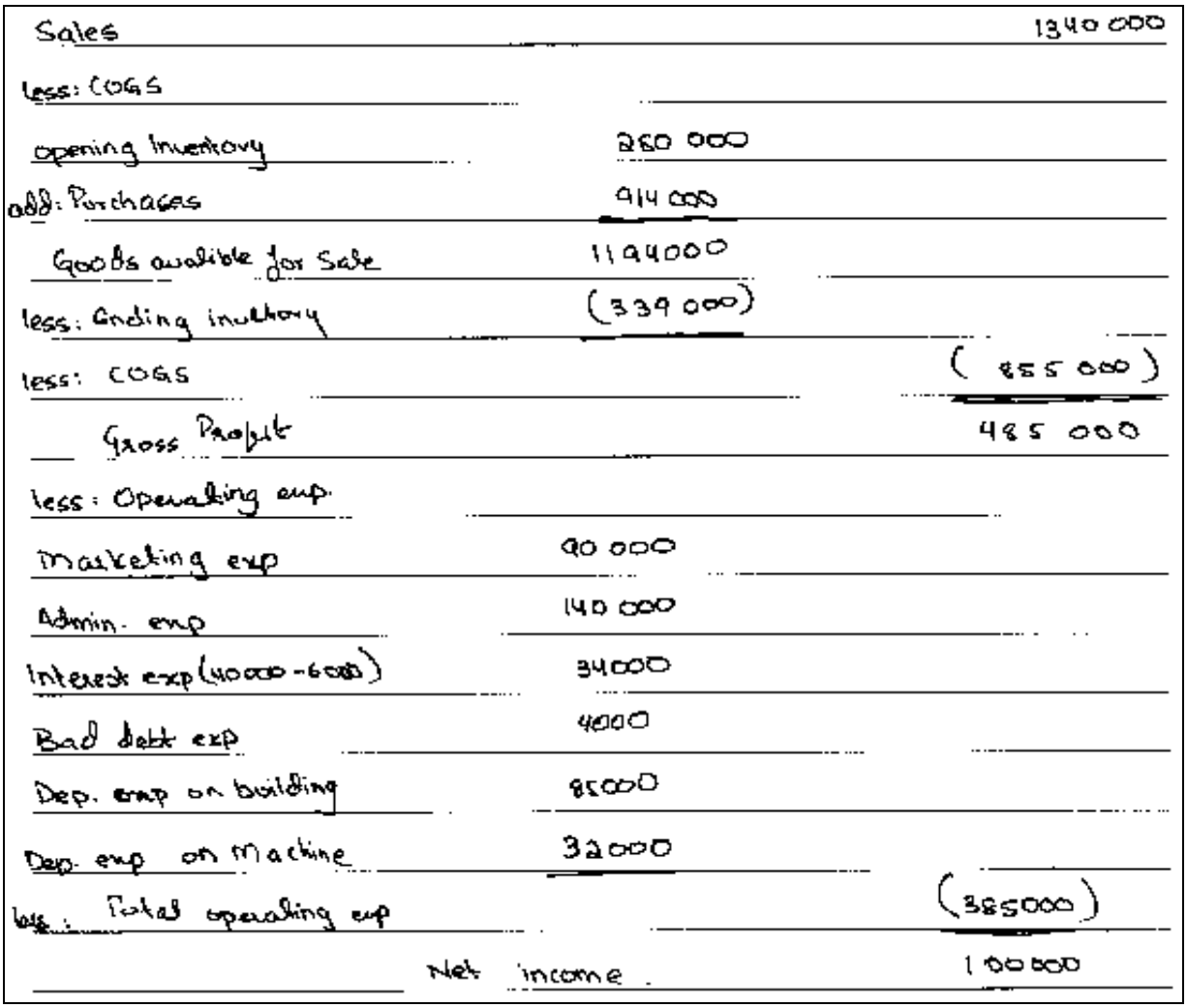
**Data for adjustment**

1. Inventory on March 31, 2018 is valued at Rs 339,000.
2. A customer account was written off at the end of the year, the amount outstanding from him was Rs 4,000.
3. Prepaid interest amounted to Rs 6,000 at the end of the year.
4. Depreciation is charged as follows:
    - Building is depreciated at 10% under straight line method.
    - Machine is depreciated at 10% under diminishing balance method.

Prepare income statement in a classified form for Shafi Traders for the year ended March 31, 2018.

*Better responses* showed appropriate knowledge of the financial statement. These responses classified the items of income statement correctly into their respective heads with proper sequence. These responses also indicated the correct knowledge of working of adjusting data with proper placement.

**Example:**



| | | |
|---|---|---|
| Sales | | 1340 000 |
| less: COGS | | |
| opening Inventory | 260 000 | |
| add: Purchases | 914 000 | |
| Goods available for Sale | 1194000 | |
| less: Ending inventory | (339 000) | |
| less: COGS | | ( 855 000) |
| Gross Profit | | 485 000 |
| less: Operating exp. | | |
| marketing exp | 90 000 | |
| Admin. exp | 140 000 | |
| Interest exp (40000 - 6000) | 34000 | |
| Bad debt exp | 4000 | |
| Dep. exp on building | 85000 | |
| Dep. exp on machine | 32000 | |
| less: Total operating exp | | (385000) |
| Net income | | 100 000 |

*Weaker responses* showed that the candidates were either unable to prepare the income statement because of the lack of knowledge of the format/ working or they were unable to make the adjustments in the income statement based on the given adjusting data because of inappropriate knowledge of the concept.

**Example**:

| Income Statement | | |
|---|---|---|
| Sales | | 1,340,000 |
| Net Sales | | |
| Opening Inventory | 280,000 | |
| Cost of good sold | 1,340,000 | |
| opening Inventory | 280,000 | |
| less - Purchases | 914,000 | |
| Gross profit | 634000 | |
| other operating expenses | | |
| add - Marketing expenses | 90,000 | |
| add = Administrative expenses | 140,000 | |
| add = Interest expenses | 40,000 | |
| add = Building | 85000 | |
| add = Machinery | 45000 | |
| | 400000 | |
| Net profit | 120000 | |

**Question 12b:**

i. Identify the types of accounting error in the given table.

| Accounting Errors | Type of Error |
|---|---|
| Collection from trade receivables (account receivables) of Rs 120,000 was not recorded by Mr Faqir. | |
| Sales return of Rs 10,500 was recorded as purchases by Mr Karim. | |
| Payment for plant repairs of Rs 15,000 was posted in books as Rs 1,500 by Mr Sumair. | |
| Credit purchases amounting to Rs 102,000 was posted in the purchases account as Rs 120,000 by Mr Ammar. | |
| Payment of Rs 35,000 received from the customer was posted to cash account but was not recorded in customer account by Mr Saleem. | |

ii. Post the general journal entry to correct the errors given in part i.

| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| | | | | |
| | | | | |
| | | | | |
| | | | | |

This part of the question was having TWO sub parts. Part (i) was related to identification of different types of accounting errors and sub part (ii) was related to correction of the errors identified in sub part (i).

*Better responses* showed that the candidates had good understanding of different types of accounting errors. These responses were able to identify the type of accounting errors correctly as error of omission, principle, commission and omission. Some responses also gave alternate answers which was considered while marking as well. These responses also indicated clear understanding of double entry related to correction of accounting errors.

**Example (i):**

| Accounting Error | Type of Error |
|---|---|
| Collection from trade receivables (account receivables) of Rs 120,000 was not recorded by Mr Faqir. | ommision error |
| Sales return of Rs 10,500 was recorded as purchases by Mr Karim. | Principle error. |
| Payment for plant repairs of Rs 15,000 was posted in books as Rs 1,500 by Mr Sumair. | Commision error. |
| Credit purchases amounting to Rs 102,000 was posted in the purchases account as Rs 120,000 by Mr Ammar. | Commision error |
| Payment of Rs 35,000 received from the customer was posted to cash account but was not recorded in customer account by Mr Saleem. | Ommision error. |

**Example (ii):**

| | | | | |
|---|---|---|---|---|
| 1) | Cash | | 120000 | |
| | Account receivable | | | 120000. |
| 2) | Sales return | | 10500 | |
| | Purchases | | | 10500 |
| 3) | Plant repairs | | 15000 | |
| | suspence account | | | 15000 |
| 4) | Suspence account | | 18000 | |
| | purchases | | | 18000. |
| 5) | ~~Cash~~. Suspence account | | 35000 | |
| | Account receivable | | | 35000 |

*Weaker responses* reflected incorrect knowledge of accounting errors. These responses identified the errors incorrectly and this resulted in wrong entries in part ii. Few responses showed that the candidates had incomplete knowledge of accounting errors. Some responses attempted part i. but did not attempt part ii.

**Example (i):**

| Accounting Errors | Type of Error |
|---|---|
| Collection from trade receivables (account receivables) of Rs 120,000 was not recorded by Mr Faqir. | Error of omission |
| Sales return of Rs 10,500 was recorded as purchases by Mr Karim. | Error of Commission |
| Payment for plant repairs of Rs 15,000 was posted in books as Rs 1,500 by Mr Sumair. | Error of Commission |
| Credit purchases amounting to Rs 102,000 was posted in the purchases account as Rs 120,000 by Mr Ammar. | Principal |
| Payment of Rs 35,000 received from the customer was posted to cash account but was not recorded in customer account by Mr Saleem. | Error of Commission |

**Example (ii):**

| Date | Particulars | P.R. | Debit | Credit |
|---|---|---|---|---|
| 1. | Collection charges | | 120,000 | |
| | A/c receivable | | | 120,000 |
| 2. | Sales Return | | 10,500 | |
| | A/c Receivable | | | 10,500 |
| 3. | Plant repair expense | | 15000 | |
| | Cash | | | 15000 |
| 4. | Purchases | | 120,000 | |
| | A/c Payable | | | 120,000 |
| 5. | Cash | | 35,000 | |
| | A/c Receivable | | | 35,000 |